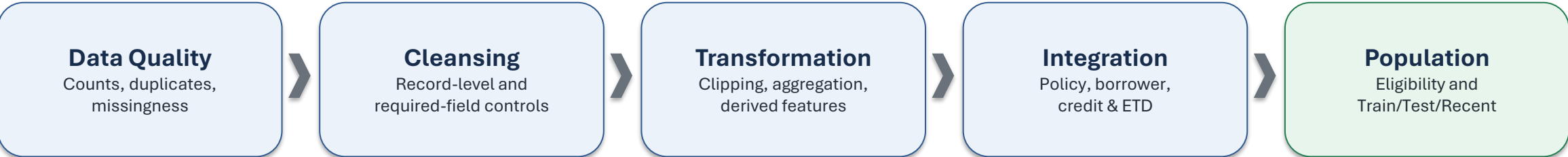


Data Preprocessing Validation — Scope & Status

Independent validation of the data preparation process is complete.



Validation approach

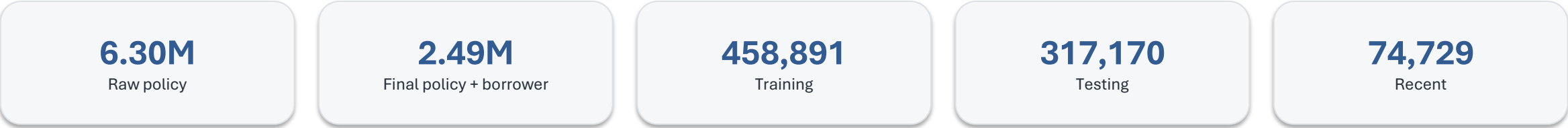
Code review and quantitative checks were used to assess record-level controls, missing-value treatment, outlier handling, business-rule transformations, data integration and final population construction.

STATUS: COMPLETE / APPROVED

We approve the data preprocessing process. No material concerns were identified from the completed validation procedures.

Data Preprocessing — Validation Results

Key quantitative results were consistent with the documented preprocessing logic.



Population reconciliation

Record counts reconciled through key cleansing, aggregation, integration and population-construction stages.

Duplicate controls

Duplicate policy applications were identified and treated; repeated ETD episodes were aggregated to application level.

Missing-value controls

Missingness was assessed before and after treatment; reviewed Train/Test fields showed no remaining missingness after applicable treatment.

Outlier controls

Training breaches were highest for GDSR (0.9091%) and TDSR (0.6623%); testing breach rates were low overall.

Result: Preprocessing outputs were consistent with the implemented controls; no material exceptions were identified.

Data Preprocessing — Key Observations & Assessment

Validation judgment based on the completed preprocessing review.

What validation confirmed

- ✓ Record-level controls — operate at the appropriate processing stages
- ✓ Missing-value treatments — are implemented consistently for reviewed fields
- ✓ Clipping thresholds — are consistently applied across development datasets
- ✓ Population construction — is traceable through key processing stages
- ✓ Business rules — are implemented programmatically within preprocessing

OVERALL ASSESSMENT

APPROVED

We approve the data preprocessing framework. No material concerns were identified that would impact the suitability of the processed data for model development and validation.

Documentation enhancement

Strengthen traceability by explicitly linking material feature-selection and business-rule decisions to supporting rationale or methodology documentation.

Technical Model Validation — In Progress

Experiments and assessments are aligned to the model-development and independent-code-review validation plan.

2.2.1 Methodology, Assumptions & Design Methodology, assumptions, architecture and design choices	2.2.2 Variable / Feature Assessment Relevance, selection rationale, redundancy, transformations and importance
2.2.3 Training / Convergence / Reproducibility Independent reproduction, convergence and implementation consistency	2.2.4 Out-of-Time / Back Testing Discrimination and performance on OOT / back-testing populations
2.2.5 Model Stability Performance, feature and score stability across different OOT periods	2.2.6 Model Sensitivity Random-seed and training-sample sensitivity; robustness of results
2.2.7 Challenger Models Champion comparison against alternative specifications / algorithms	2.2.8-9 Explainability, Limitations & Findings Feature directionality, limitations, exceptions and model-impact assessment
Independent Code Review Documentation review • Independent result replication • Incremental code updates • Code logic review	
STATUS Technical validation: IN PROGRESS Overall conclusion: PENDING	